PAYMENT IN LIEU OF TAXES AND REGULATORY AGREEMENT

Beacon Point Apartments · 2200 Beacon Avenue, Lantern Bay

This Payment in Lieu of Taxes and Regulatory Agreement (this "Agreement") is made as of July 1, 2025, between the City of Lantern Bay (the "City") and Beacon Point Housing LLC (the "Owner").

RECITALS

A. The Owner is building an 80-home rental project at 2200 Beacon Avenue (the "Project").

B. By Resolution No. 2025-41, adopted May 13, 2025, the City Council approved a payment in lieu of taxes for the Project, subject to this Agreement.

ARTICLE 1. DEFINITIONS

1.1 "Affordable Home" means a home in the Project that is subject to Article 3.

1.2 "Area Median Income" means the median income for Bayside County, adjusted for household size, as published each year by HUD.

1.3 "HUD" means the United States Department of Housing and Urban Development.

ARTICLE 2. PAYMENT IN LIEU OF TAXES

2.1 The Owner shall pay the City an annual payment in lieu of taxes equal to 25 percent of the property taxes that would otherwise be due, for a period of 15 years.

2.2 Payments are due each year on the date property taxes would otherwise be due.

ARTICLE 3. AFFORDABILITY

3.1 The Owner shall reserve 16 of the 80 homes in the Project as Affordable Homes.

3.2 Each Affordable Home shall be leased to a household with income at or below 60 percent of Area Median Income.

3.3 Monthly rent for each Affordable Home, including a utility allowance, shall not exceed the 60 percent rent limit based on the HUD income limits published each year.

3.4 The requirements of this Article 3 shall remain in effect for 30 years from the date the first Affordable Home is leased.

3.5 Affordable Homes shall be spread through the Project and shall have the same finishes as other homes of the same size.

ARTICLE 4. RESPONSIBLE PARTY

4.1 The Owner is responsible for compliance with this Agreement, and this Agreement binds every later owner of the Project.

4.2 The Owner shall give the City 30 days' written notice before any sale of the Project.

ARTICLE 5. REPORTING AND RECORDS

5.1 The Owner shall deliver an annual compliance certificate to the City by March 1 of each year.

5.2 The certificate shall state counts only and shall not include household names or other personal information.

5.3 The City may inspect the Owner's leasing records for the Affordable Homes on 10 days' notice.

ARTICLE 6. DEFAULT AND REMEDIES

6.1 The City shall give the Owner written notice of any default under this Agreement.

6.2 If a default is not cured within 60 days after written notice, the Owner shall repay all abated taxes with interest.

6.3 The City may also seek any other remedy available at law or in equity.

ARTICLE 7. GENERAL

7.1 This Agreement shall be recorded and runs with the land.

7.2 This Agreement may be amended only in a writing signed by both parties.

SIGNATURES

The parties have signed this Agreement as of the date first written above.

CITY OF LANTERN BAY

[signature on file]

City Manager
Date: July 1, 2025

BEACON POINT HOUSING LLC

[signature on file]

Managing Member
Date: July 1, 2025

Attest:

[signature on file]

City Clerk

Approved as to form:

[signature on file]

City Attorney

Recorded with the Bayside County Recorder on July 8, 2025, as Document No. 2025-0187733.